

Bitcoin Commons: A Cryptographic Governance System for Bitcoin Development

BTCDecoded

2025



Abstract

Bitcoin faces a critical governance asymmetry: while its technical consensus layer is cryptographically bulletproof, its development governance relies on informal social coordination. At Bitcoin's multi-trillion dollar scale, this represents an existential vulnerability.

This whitepaper presents two innovations that enable each other: **BLVM** provides mathematical rigor (proofs locked to code, formal verification, consensus matching); **Bitcoin Commons** provides governance coordination without civil war (Ostrom's principles through cryptographic enforcement). Together they solve Bitcoin's governance asymmetry.

The system is being developed across six public repositories, with work ongoing on mathematical specifications, governance infrastructure, and economic sustainability. This is a living document:

the foundation exists, but its future depends on community contribution. For the complete narrative treatment, see *Bitcoin Commons: Decentralizing the Decentralizers*.

1. Introduction

Bitcoin solved Byzantine consensus between strangers (Nakamoto, 2008) but ignored consensus between developers. The network's substantial market capitalization demands institutional maturity matching its technical excellence.

The original cypherpunk developers focused on eliminating trusted third parties in transactions but inadvertently created trusted parties in development. Bitcoin Commons addresses Bitcoin's most critical vulnerability: governance asymmetry between technical consensus and development coordination.

1.1 The Talent Bottleneck: Orders of Magnitude and Sources

Bitcoin development draws on multiple hard domains simultaneously (C++, applied cryptography, distributed systems, security engineering, economics/game theory, and open-source governance). Each extra domain narrows the pool. Using conservative, sourced baselines and clearly labeled assumptions, we estimate the rarity of a contributor who combines these competencies and is available to work on Bitcoin:

Assumptions and sources:

- World population baseline: ~8.1B (UN DESA, World Population Prospects, 2022 Rev.)
- Global developers: ~30M-47M (range spanning widely cited industry estimates, incl. SlashData and similar studies)
- C++ share of developers: ~15%-25% (range spanning major annual developer surveys)
- Adult numeracy (problem-solving proficiency): on the order of 10%-20% globally (OECD PIAAC cross-country evidence; global extrapolation is approximate)
- Bitcoin Core maintainers: single-digit individuals; contributors: hundreds (public repo statistics)

Rarity funnel (indicative, overlapping, not strictly independent):

- Strong college-level math (calculus/linear algebra): 3%-5% of population, resulting in 240M-400M
- Professional developers: ~30M-47M (subset, separate baseline)
- C++/systems competency: 15%-25% of developers → 4.5M-11.8M
- Applied cryptography + Bitcoin protocol literacy: 1%-2% of C++ devs → 45k-236k
- Distributed systems/P2P networking depth: 30%-50% → 13.5k-118k

- Security engineering mindset (memory safety, adversarial thinking): 20%-30% → 2.7k-35k
- Economics/game-theory literacy: 30%-50%, resulting in 0.8k-17.5k
- Open-source governance (review culture, consensus norms): 10%-30%, resulting in 80-5k
- Communication/reliability under public scrutiny: 30%-50% → 24-2.5k
- Availability/alignment to work on Bitcoin: 10%-30% → ~2-750

Interpretation:

- Even with generous ranges, the intersection yields on the order of dozens to a few hundred globally available individuals with the full stack to work reliably on Bitcoin's most sensitive layers.
- Public data corroborates scarcity at the tip: Bitcoin Core has hundreds of credited contributors but only a small, rotating single-digit maintainer set. This human bottleneck contrasts with the cryptographic abundance at the consensus layer.

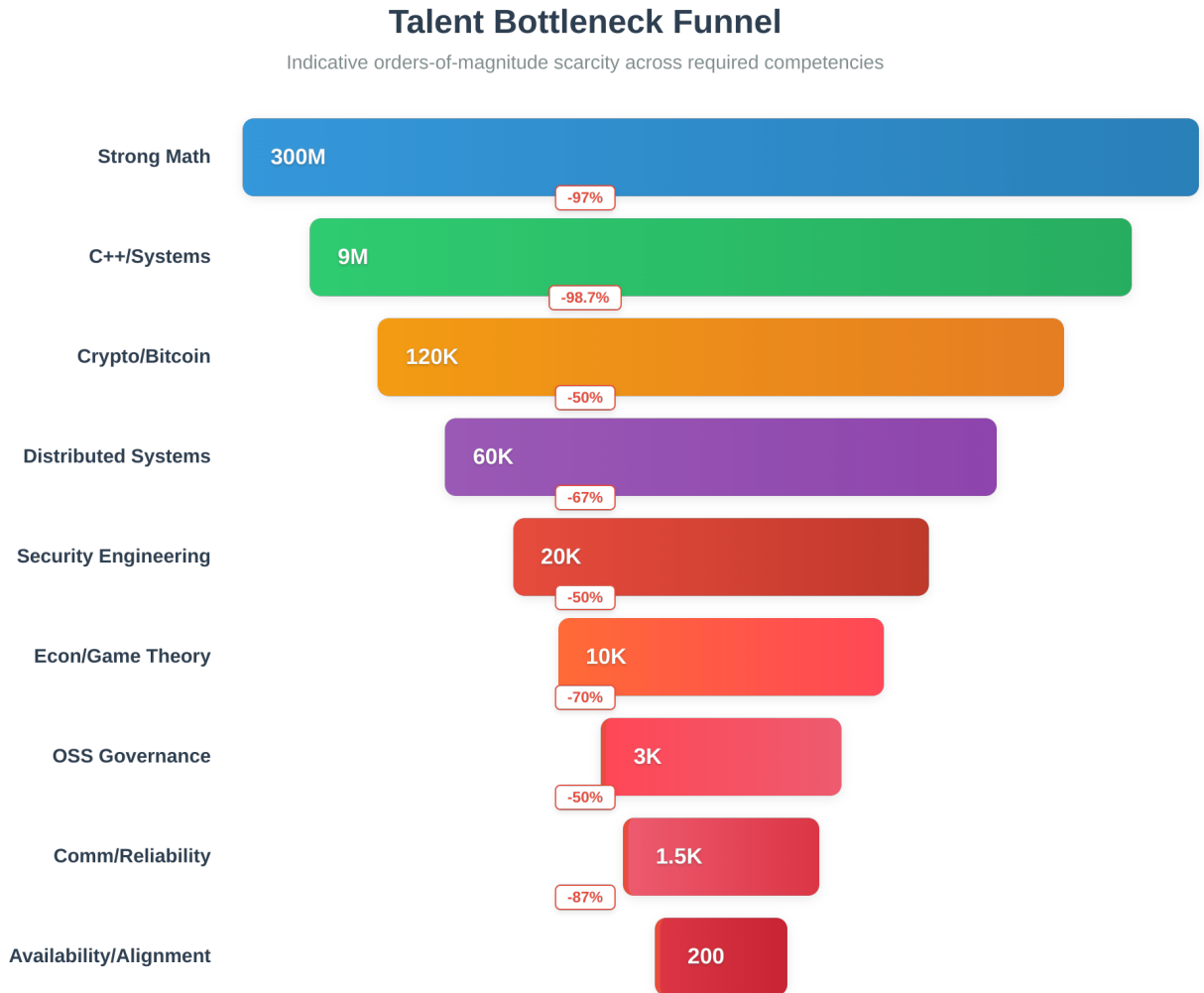


Figure: Orders of magnitude funnel showing talent scarcity across required domains.

Citations (illustrative anchors): - UN DESA, World Population Prospects (2022) - SlashData, Global Developer Population Trends - Annual developer surveys (Stack Overflow) for C++ usage - OECD PIAAC, adult skills numeracy distributions - Bitcoin Core repository statistics (GitHub)

2. Problem Statement

Technical Reality

Bitcoin's consensus rules are embedded in 350,000+ lines of C++ code with no mathematical specification. Bitcoin Core maintains 99.5% market share among implementations, creating effective monopoly control over Bitcoin's evolution. The lack of formal specification makes it impossible to build safe alternative implementations or verify consensus correctness.

Governance Reality

Bitcoin's development governance relies entirely on informal social coordination. No systematic consequences exist for bad actors, no formal dispute resolution mechanisms exist, and power

is invisible and unaccountable. The system is vulnerable to capture through relationships rather than rules. Quantitative analysis of Bitcoin Core's development patterns reveals significant power concentration: the top 3 maintainers control 81.1% of merges, self-merge rates reach 26.5%, and review quality varies substantially with zero-review merges historically at 30.2% (bitcoin-governance-research, 2026). Network analysis reveals structural misalignments between technical development and social infrastructure, creating coordination gaps that prevent effective governance (Hough, 2025). These patterns reflect the paradox of embeddedness in network structures, where relationships can inhibit coordination and reinforce existing power dynamics (Uzzi, 1997). Funding may not flow to projects with strong grassroots activity, and "rich-get-richer" dynamics reinforce existing patterns rather than enabling competition. Commons addresses these issues through cryptographic enforcement of multisig thresholds, mandatory review periods, and transparent accountability mechanisms.

Historical Context

Early developers recognized this problem. Gavin Andresen (2014) raised governance concerns but was marginalized during blocksize wars. Mike Hearn attempted governance solutions but proposed hierarchical models inappropriate for Bitcoin's decentralized ethos. Academic researchers (De Filippi & Loveluck, 2016) documented these power structures but provided no actionable solutions.

Scale Considerations

Bitcoin's growth from early stages to multi-trillion dollar scale requires institutional reform. The next crisis, whether AI attacks, regulatory capture, or internal conflicts, won't wait for the community to develop governance solutions reactively.

3. Theoretical Framework: The Triple Foundation

Bitcoin Commons synthesizes three distinct theoretical frameworks, each addressing weaknesses in the others to create governance architecture stronger than any single approach alone.

Framework 1: Elinor Ostrom - Commons Governance

Elinor Ostrom won the 2009 Nobel Prize in Economics for proving that shared resources don't inevitably collapse into chaos or capture (Ostrom, 1990). Her research documented principles for governing commons without central authority across centuries of real-world examples.

Ostrom's (1990) Seven Principles.

1. **Clear boundaries on who decides what.** Defined decision-making authority.
2. **Consequences for violations.** Systematic enforcement mechanisms.
3. **Local dispute resolution.** Formal conflict resolution processes.
4. **Protection from external interference.** Resistance to outside pressure.

5. **Collective choice arrangements.** Meaningful participation in rule-making.
6. **Graduated sanctions.** Proportional consequences for violations.
7. **Monitoring and accountability.** Transparent oversight mechanisms.

What This Provides. Proven institutional design for shared resources, evidence decentralized governance works, and coordination without hierarchy.

Framework 2: F.A. Hayek - Spontaneous Order

Friedrich Hayek's Austrian economics provides the competitive discovery mechanism that enables governance evolution rather than rigid design.

Hayek's Core Insights. - **Dispersed Knowledge Problem.** No central planner can know what's needed because knowledge is distributed across many actors. - **Competition as Discovery.** Competition reveals information that couldn't be known in advance. - **Spontaneous Order.** Best institutions emerge through evolution, not top-down design. - **Markets Need Infrastructure.** Competition requires actual alternatives to compete.

What This Provides. Justification for avoiding central planning, competitive governance discovery, and institutions that evolve through market signals.

Framework 3: Bitcoin - Cryptographic Enforcement

Bitcoin's innovation provides the enforcement tools that make decentralized governance work at scale without trusted parties.

Bitcoin's Core Principles.

- **Don't Trust, Verify.** Cryptographic enforcement replaces social trust.
- **Permissionless Innovation.** Anyone can build without asking permission.
- **Exit Rights.** Fork option provides ultimate check on power.
- **Decentralized Control.** No single point of authority.

What This Provides. Tools for enforcing rules without trust, proof decentralized systems work at scale, and a model for implementing Hayek's principles digitally.

The Triple Synthesis

The three frameworks address each other's weaknesses:

Ostrom's Challenge. Commons governance historically relied on social pressure, vulnerable to capture at scale. **Bitcoin's Solution.** Cryptographic enforcement replaces social pressure with mathematical proof.

Hayek's Challenge. Competition discovers optimal solutions but requires actual alternatives to compete. **Ostrom's Solution.** Provides institutional framework for multiple governance models to coexist.

Bitcoin's Challenge. Solved technical consensus but not social governance. **Hayek + Ostrom Solution.** Competitive discovery of governance models using proven institutional principles.

The Result. Governance that is proven (Ostrom's research), evolving (Hayek's competition), and enforceable (Bitcoin's cryptography).

Cryptographic Polycentrism: The Governance Model

Bitcoin Commons implements **Cryptographic Polycentrism**, a governance model that creates multiple centers of power with clear boundaries, enforced through cryptography rather than social pressure. This approach applies Ostrom's proven principles using Bitcoin's cryptographic enforcement tools, enabling competitive discovery through Hayekian market mechanisms while maintaining Ostrom's institutional structure.

Cryptographic Polycentrism differs from traditional polycentrism (multiple decision centers) by using cryptographic enforcement to make boundaries mathematically verifiable rather than socially negotiated. Where traditional governance relies on trust and reputation, Cryptographic Polycentrism uses multisig thresholds, mandatory review periods, and three-layer verification providing real-time transparency and immutable proof to create enforceable boundaries that cannot be bypassed even by repository administrators.

This model enables multiple implementations to compete (Hayek's discovery mechanism) while maintaining clear institutional boundaries (Ostrom's principles) through cryptographic proof (Bitcoin's innovation). The result is governance that is both competitive and accountable, proven and evolving, decentralized and enforceable.

Bitcoin Core's Current State

Bitcoin Core has informal implementations of some Ostrom (1990) principles but lacks systematic enforcement.

Mapping The Principles to Implementation

The modular architecture implements Ostrom's seven principles through cryptographic enforcement rather than social pressure. The chart below shows how these principles integrate with principles from Hayek, Bitcoin, and Cypherpunk frameworks:

Principle	Source	Technical Implementation
Clear Boundaries Who has authority, what belongs in base vs extensions, entry/exit rules for maintainers	Ostrom	Repository hierarchy with signature thresholds: Constitutional (6-of-7), Implementation (4-of-5), Application (3-of-5), Extension (2-of-3). Each repository has defined scope and authority boundaries enforced by multisig. <code>governance-app/src/crypto/multisig.rs</code>
Proportional Benefits Costs and benefits align with participation level, no free-riding by maintainers	Ostrom	Economic node network and module marketplace: Economic nodes receive proportional voting weight based on stake. Module developers earn marketplace revenue based on adoption. Merge mining rewards align with contribution to network security. <code>governance-app/src/economic_nodes/registry.rs</code>
Collective Choice Participants design governance rules, not imposed from above	Ostrom	Module system enables user sovereignty: Users choose which modules to run, creating bottom-up governance through configuration rather than top-down feature decisions. Module marketplace enables competitive discovery of solutions. <code>reference-node/ (modular architecture)</code>
Monitoring Transparent oversight, audit trails, verifiable governance actions	Ostrom	Three-layer verification architecture: GitHub enforcement (real-time merge blocking), Nostr: transparency (hourly signed status), OpenTimestamps anchoring (monthly immutable proof). All governance actions are cryptographically signed and verifiable. <code>governance-app/src/verification/</code>
Graduated Sanctions Proportional consequences for violations, not just fork-or-nothing	Ostrom	Tiered security controls and emergency response: P0 controls block production, P1 controls require audit, P2 controls warn. Emergency powers have automatic expiration. Module quality gates provide graduated enforcement (warnings → rejection → removal). <code>governance-app/src/enforcement/security_controls.rs</code>
Conflict Resolution Local mechanisms for disputes, formal processes not ad-hoc	Ostrom	OpenTimestamps provides court-admissible evidence: Monthly canonical registry anchored to Bitcoin blockchain creates immutable proof of governance state. Enables formal dispute resolution with cryptographic evidence rather than ad-hoc social negotiation. <code>governance-app/src/verification/opentimestamps.rs</code>
Minimal Recognition Autonomy from external interference, protection from regulatory capture	Ostrom	Multi-jurisdictional maintainer distribution: 5-7 maintainers across multiple jurisdictions. Cryptographic enforcement means even repository admins cannot bypass multisig requirements. No single point of regulatory pressure. <code>governance-app/src/crypto/multisig.rs</code>
Spontaneous Order Emergent coordination without central planning, bottom-up innovation	Hayek	Module marketplace enables emergent solutions: No central committee decides features. Module developers build solutions based on market demand. Users vote with configuration choices. Innovation emerges from competition, not planning. <code>Module system (planned architecture)</code>
Knowledge Problem Distributed knowledge utilization, no central bottleneck for decisions	Hayek	Modular architecture distributes decision-making: Module system allows distributed knowledge application. Different modules solve different problems without requiring central coordination. Economic nodes contribute local knowledge through voting signals. <code>reference-node/ (modular architecture)</code>
Price Discovery Market signals guide resource allocation, module marketplace enables choice	Hayek	Module marketplace pricing and adoption metrics: Module sales, adoption rates, and user ratings provide market signals. Popular modules get more resources and development. Unpopular modules exit. Price signals guide developer effort allocation. <code>Module system (planned architecture)</code>
Market Process Competitive discovery and adaptation, multiple implementations compete	Hayek	Orange Paper enables implementation diversity: Mathematical specification allows multiple implementations to compete while maintaining consensus compatibility. Module system enables experimentation without consensus risk. Multiple implementations can coexist and compete. <code>the-orange-paper/</code>
Permissionless No gatekeeping for participation, anyone can fork and contribute	Bitcoin	Open source with fork-ready architecture: All repositories public. Modular design makes forking easier. Module system allows contribution without touching core consensus. Anyone can create modules, fork implementations, or start new implementations from Orange Paper. <code>All repositories public, fork-ready</code>
Trust Minimization Cryptographic verification over trust, governance enforced in code	Bitcoin	Multisig enforcement blocks unauthorized merges: 3-of-5 maintainer multisig required for merges, enforced by GitHub App. Even repository admins cannot bypass. Signatures are cryptographically verified. Governance is enforced in code, not through social trust. <code>governance-app/src/enforcement/merge_block.rs</code>
Decentralization Distributed control and validation, no single point of failure	Bitcoin	Multi-stakeholder maintainer set across jurisdictions: 5-7 maintainers required for operations. Economic node network provides distributed validation. Module system prevents single implementation monopoly. Multiple implementations can validate same chain. <code>governance-app/src/validation/threshold.rs</code>
Censorship Resistance Resistance to external pressure, no single jurisdiction control	Bitcoin	Jurisdictional distribution and cryptographic enforcement: Maintainers across multiple jurisdictions. Cryptographic enforcement prevents single-jurisdiction shutdown. Self-funding through merge mining reduces external pressure. No single point of regulatory control. <code>governance-app/src/validation/threshold.rs</code>
Immutability Permanent historical record, governance decisions cryptographically anchored	Bitcoin	OpenTimestamps anchors governance state to Bitcoin: Monthly canonical registry hash anchored to Bitcoin blockchain via OpenTimestamps. Creates permanent, court-admissible proof of governance state. Independent of any single server or relay. <code>governance-app/src/verification/opentimestamps.rs</code>
Privacy by Default User privacy as fundamental right, governance doesn't require surveillance	Cyberpunk	Governance operates without user surveillance: Multisig verification doesn't require monitoring users. Module choices are local configuration, not tracked. OpenTimestamps proofs don't reveal private information. Privacy-preserving governance design. <code>governance-app/src/crypto/</code>
Technical Enforcement Code enforces rights and limits, multisig prevents governance bypass	Cyberpunk	Cryptographic enforcement throughout: Multisig blocks unauthorized merges at GitHub level. Security controls enforced in CI/CD. Signatures verified mathematically. Code enforces governance rules; humans cannot override without cryptographic proof. <code>governance-app/src/enforcement/merge_block.rs</code>
Anti-Surveillance Resistance to monitoring and control, decentralized governance infrastructure	Cyberpunk	Distributed infrastructure and privacy-preserving design: Nostr relays distributed across network. OpenTimestamps uses public Bitcoin blockchain (no surveillance risk). Self-hosted runners behind VPN. No central monitoring infrastructure required. <code>governance-app/src/verification/nostr.rs</code>

Figure: Integration of four key philosophies: Hayek (spontaneous order), Bitcoin (cryptographic enforcement), Cyberpunk (privacy through technology), and Ostrom (commons governance).

Principle 1. Clear Boundaries.

- **Layers.** Base (network consensus), Module (user choice).
- **Implementation.** Architecture enforces boundaries. Modules cannot modify consensus code paths.

Principle 2. Consequences for Violations.

- **Technical/Reputational.** Module quality standards, transparent adoption metrics, cryptographic enforcement.
- **Implementation.** Cryptographic enforcement makes consequences automatic, not social.

Principle 3. Local Dispute Resolution.

- **Architecture-based.** Competing modules resolve disputes. User choice determines winners. Module conflicts don't threaten consensus.
- **Implementation.** No central arbiter needed. Architecture provides resolution through user configuration.

Principle 4. Protection from External Interference.

- **Self-Funding/Multi-jurisdictional/Fork-Ready.** Operational revenue modules, distributed keyholders, governance fork capability.
- **Implementation.** Cryptographic multisig ensures no single jurisdiction can compel action.

Keyholder Diversity Radar

Phase 3 estimates. Higher is better across axes: jurisdictions, org diversity, rotation cadence, independence, quorum.

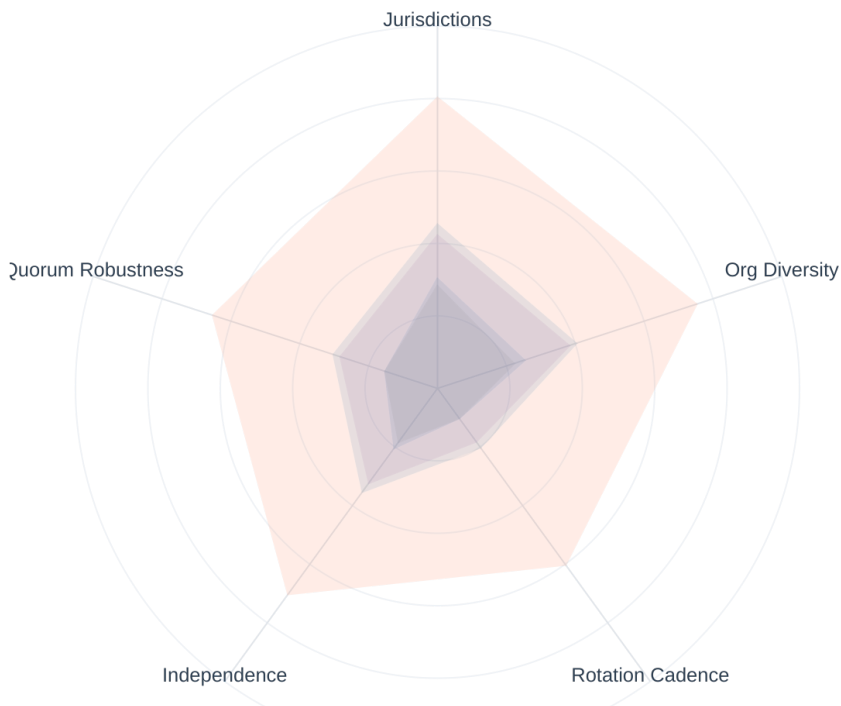


Figure: Keyholder diversity across jurisdictions and organizations prevents single-point coercion.

Principle 5. Collective Choice Arrangements.

- **User sovereignty via configuration.** Users compose stacks. Adoption metrics function as voting. Participation through choices, not committees.
- **Implementation.** GUI-based module selection enables collective choice through user preferences.

Principle 6. Graduated Sanctions.

- **Proportional escalation.** Moderate fork to major deprecation to governance fork. Graduated signature requirements (2-of-3 to 6-of-7). Sanctions at module layer, no consensus changes required.
- **Implementation.** Multisig thresholds vary by change category (2-of-3 extension to 6-of-7 constitutional).

Principle 7. Monitoring and Accountability.

- **Cryptographic transparency.** All governance actions signed and verifiable. Module adoption, revenue flows, decision provenance auditable. Three-layer verification ensures complete audit trails.
- **Implementation.** Automated monitoring through cryptographic verification, not social trust.

Audit Trail Completeness Map

Phase 3 estimates. Cells indicate availability of verifiable artifacts across implementations.

	Bitcoin Core	Bitcoin Knots	btcd	Libbitcoin	Bitcoin Commons
Release Signatures	Complete	Complete	Partial	Partial	Complete
Deterministic Builds Proof	Partial	Partial	Partial	Partial	Complete
Review Logs (linked to PRs)	Partial	Partial	Partial	Partial	Complete
CI Verification Proofs	Partial	Partial	Partial	Partial	Complete
OpenTimestamps / Timestamps	Partial	Partial	Partial	Partial	Complete
Merkle Proofs (Commit Sets)	No	No	No	No	Complete

Figure: Audit-trail completeness across governance layers: all decisions evidenced and verifiable.

Comparison with Bitcoin Core.

Bitcoin Core has informal implementations of some Ostrom principles but lacks systematic enforcement. Quantitative analysis reveals power concentration where top maintainers control 81.1% of merges, self-merge rates reach 26.5%, and review quality varies substantially. The system has informal boundaries (Core maintainers, BIP editors) but no formal process for selection, removal, or authority limits. Social pressure and reputation damage provide consequences, but there's no systematic enforcement mechanism. Most critically, there's no infrastructure for competitive discovery. Bitcoin Core's 99.5% market share prevents Hayekian competition from working. Below is a detailed comparison:

- **Clear Boundaries.** Informal (maintainers, BIP editors), no formal selection/removal process. **Commons Solution.** Cryptographic multisig thresholds define authority limits. Maintainer selection/removal requires constitutional-level approval (6-of-7 signatures).
- **Consequences.** Social pressure only, no systematic enforcement. **Commons Solution.** Cryptographic enforcement prevents merges without required signatures. Violations are mathematically impossible, not socially discouraged.
- **Dispute Resolution.** BIP process advisory only, no binding mechanism. **Commons Solution.** Three-layer verification provides cryptographic proof for dispute resolution. Governance actions are cryptographically verifiable and timestamped.
- **External Protection.** No systematic protection, individuals can be pressured. **Commons Solution.** Push-only architecture with VPN isolation. No incoming HTTP endpoints. Cryptographic requirements cannot be bypassed even by repository admins.

- Collective Choice. BIP process exists but no formal consensus mechanism. **Commons Solution.** Tiered multisig thresholds (2-of-3 to 6-of-7) with mandatory review periods. Governance actions require explicit cryptographic approval from multiple maintainers.
- Graduated Sanctions. Informal social pressure, no systematic escalation. **Commons Solution.** Tiered signature requirements escalate with risk level. Emergency situations require higher thresholds (4-of-5, 5-of-5) with automatic expiration.
- Monitoring. Public GitHub/ mailing lists, no formal accountability system. **Commons Solution.** Three-layer verification provides real-time transparency, immutable proof, and merge control. All governance actions are cryptographically signed and verifiable.

The pattern: Bitcoin Core has informal implementations that worked at billion-scale but become vulnerable at multi-trillion scale. Commons implements all seven Ostrom principles through Cryptographic Polycentrism, directly addressing the power concentration and accountability gaps identified in quantitative analysis (bitcoin-governance-research, 2026).

4. Technical Solution: The Orange Paper

Problem

Bitcoin's consensus rules lack mathematical specification (embedded in 350,000+ lines of C++ code with no formal specification). This makes them impossible to verify, understand, or implement independently. The 2018 inflation bug (CVE-2018-17144) existed in Bitcoin Core for years before discovery. This is exactly the class of error formal verification eliminates.

Solution

The Orange Paper provides a formal mathematical specification of Bitcoin's consensus protocol through AI-assisted extraction from Bitcoin Core's codebase. The specification includes:

- Mathematical foundations (set theory, cryptographic primitives, network protocols)
- State transition functions (block validation, transaction validation, consensus rules)
- Economic model (mining rewards, fee calculations, difficulty adjustment)
- Security properties (Byzantine fault tolerance, Sybil resistance, double-spending prevention)

Benefits

- **Safe alternative implementations:** Independent implementations can verify against mathematical specification
- **Formal verification:** Consensus correctness can be mathematically proven
- **Reduced consensus bugs:** Systematic analysis eliminates entire classes of errors
- **Technical moat:** AI extraction eliminates "not invented here" bias

AI-Assisted Extraction Methodology

The Orange Paper uses AI-assisted extraction from Bitcoin Core's codebase to formalize consensus rules. This approach: - Analyzes Bitcoin Core's codebase to identify consensus-critical code paths - Extracts mathematical relationships from implementation details - Creates formal specifications that are independent of specific code structure - Enables verification that specification matches actual network behavior

Proof Maintenance and Specification Quality

The formal verification process includes ongoing maintenance to ensure specification accuracy:

Spec Maintenance Workflow

How the Orange Paper stays synchronized with code changes

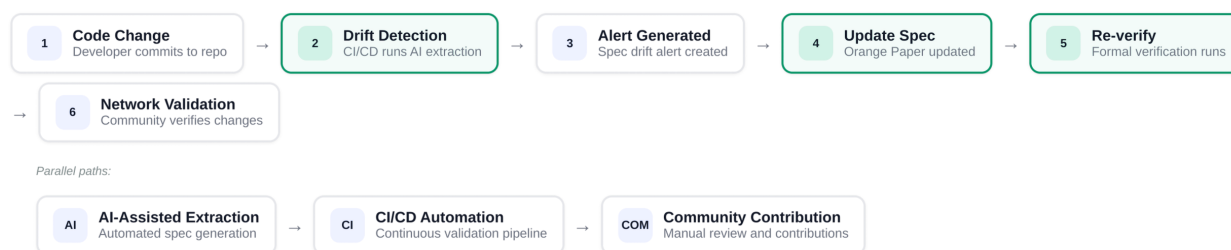


Figure: Spec maintenance workflow: specification synchronized with implementation through automated testing and formal verification.

Spec Drift vs Test Coverage

Phase 3 estimates. Bars: spec drift (lower is better). Line: test coverage (higher is better).

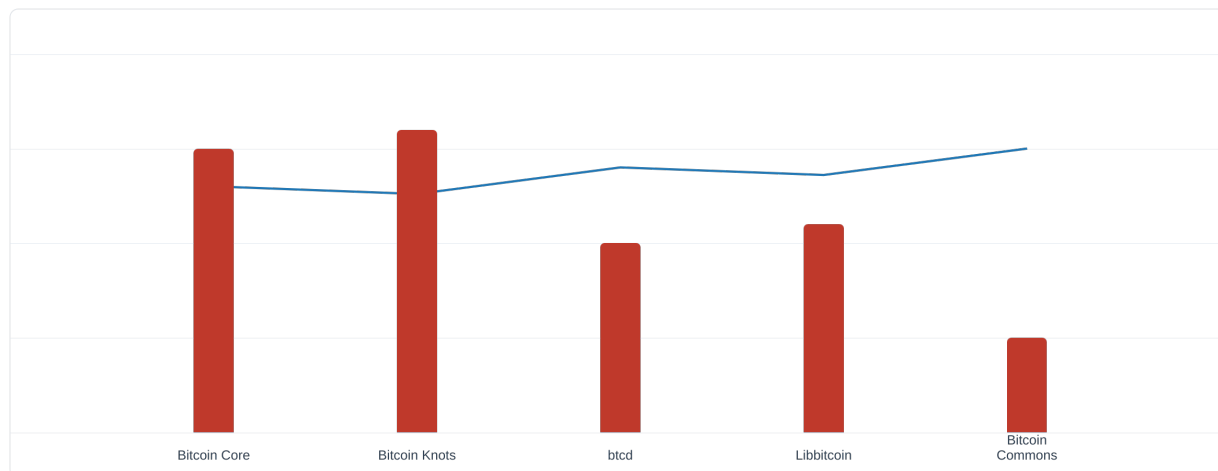


Figure: Spec drift decreases as test coverage increases. Higher test coverage ensures specification accuracy over time.

Proof Maintenance Cost

Developer-weeks per quarter spent on proofs upkeep



Figure: Proof maintenance cost by area, highlighting refactor hotspots. Commons aims for lower proof churn than Core.

Status: Complete specification available at <https://github.com/BTCDecoded/blvm-spec>. The specification is actively maintained and verified against network behavior through automated testing.

4.4 BLVM Architecture

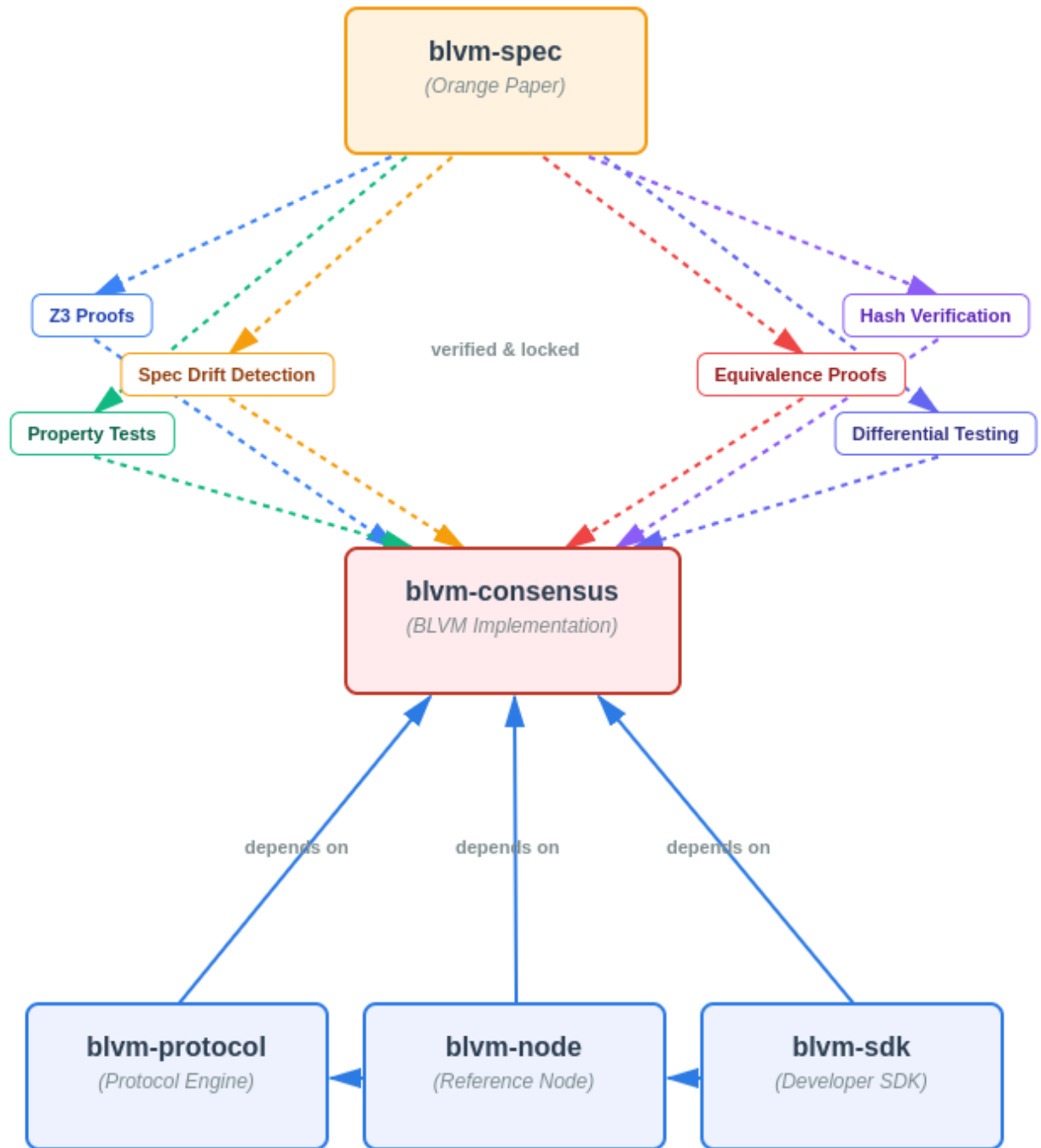


Figure: BLVM architecture showing *blvm-spec* (Orange Paper) as the foundation, *blvm-consensus* as the core implementation with verification paths (Kani proofs, spec drift detection, hash verification), and dependent components (*blvm-protocol*, *blvm-node*, *blvm-sdk*) building on the verified consensus layer.

BLVM (Bitcoin LLVM) applies compiler-like infrastructure to Bitcoin implementations. The Orange Paper serves as an intermediate representation (IR), enabling reusable optimizations and multiple implementations.

Single Source of Truth. All consensus logic resides in `blvm-consensus`. Upper tiers (`blvm-protocol`, `blvm-node`) delegate validation calls with no duplicate implementations. Path dependencies ensure changes propagate immediately through Rust's type system.

Optimization Pipeline. Multiple passes apply. Formal verification (Kani model checking), property testing (proptest edge case discovery), LLVM compiler optimizations (opt-level 3, fat LTO, SIMD), and differential testing against network behavior. Scalable cloud infrastructure reduces proof execution time from hours to minutes at minimal cost.

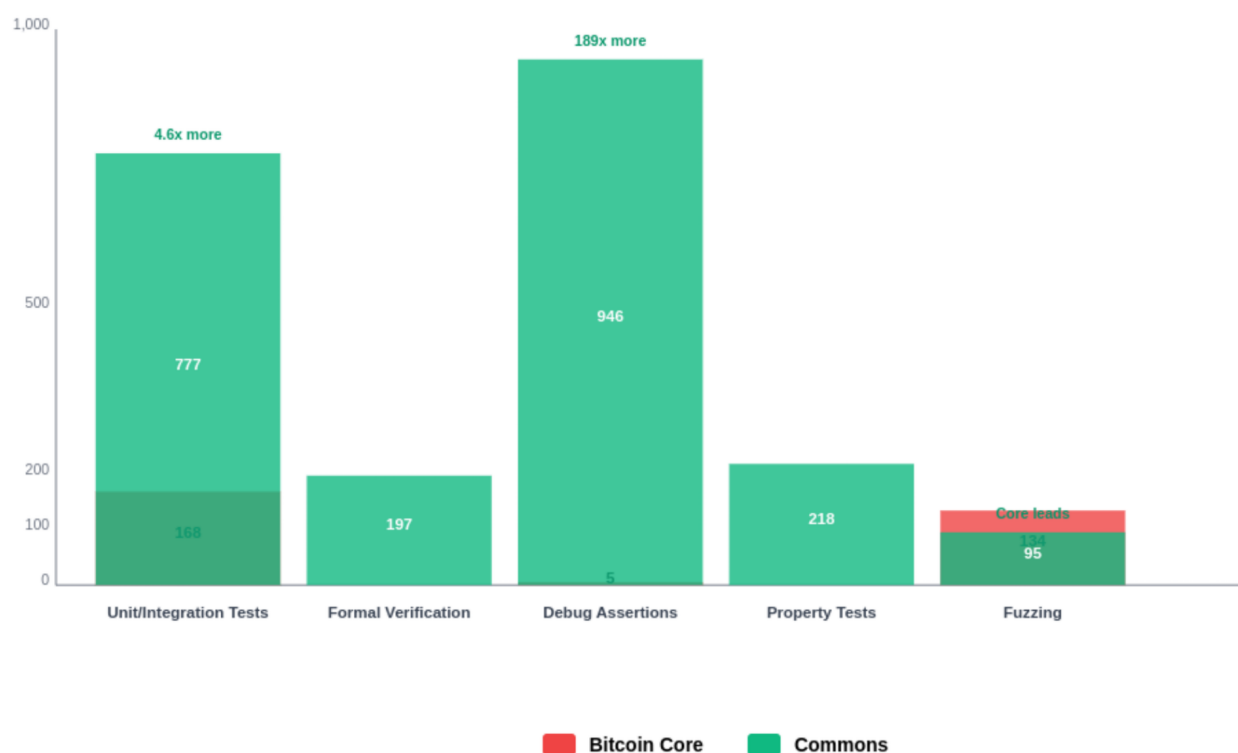
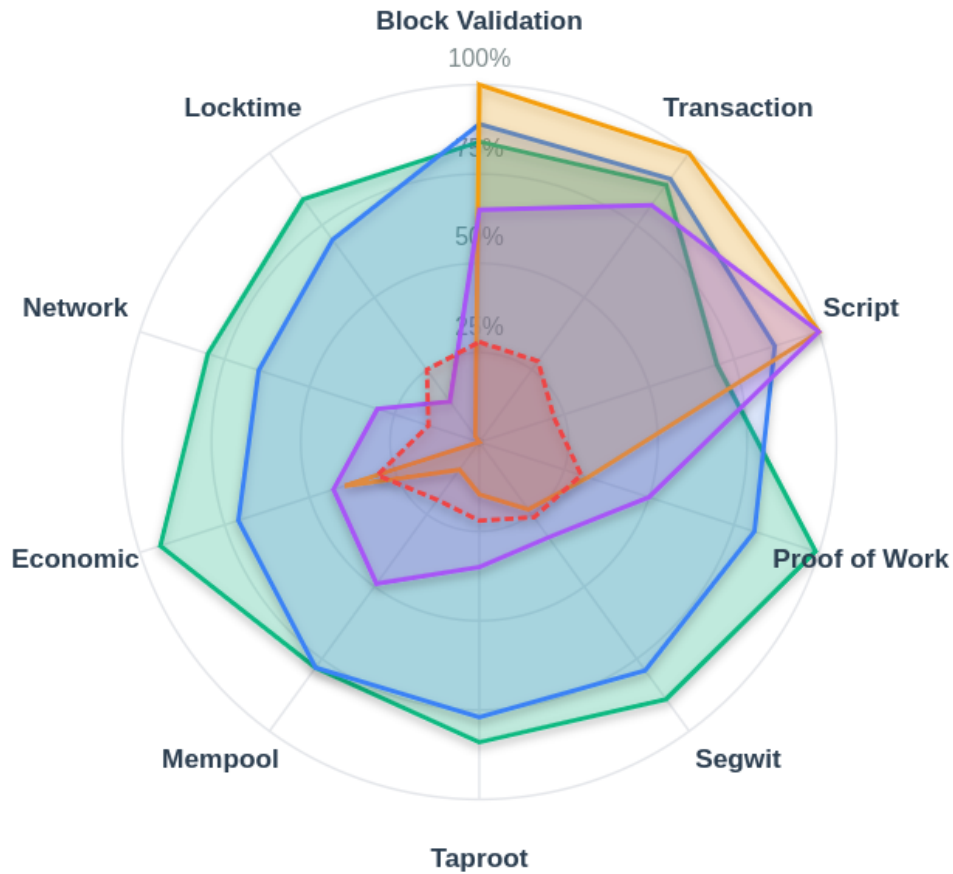


Figure: Comparison of verification methods: Bitcoin Core relies primarily on unit/integration tests and fuzzing. Bitcoin Commons employs comprehensive formal verification, extensive test coverage, debug assertions, and property tests, providing multiple layers of verification beyond Core's approach.



■ Bitcoin Core (Test Coverage)
 ■ Commons (Formal Verification)
 ■ Commons (Test Coverage)
 ■ Commons (Property Tests)
 ■ Commons (Debug Assertions)

Figure: Consensus coverage comparison: Bitcoin Core achieves coverage through testing alone. Bitcoin Commons achieves formal verification coverage (Kani proofs) plus comprehensive test coverage. Commons uses consensus-focused test files with extensive test functions compared to Core's total files. The mathematical specification enables both formal verification and comprehensive testing.

Formal verification in `blvm-consensus` applies to all tiers because all consensus decisions flow through verified functions. The dependency chain prevents bypassing verification.

5. Architectural Solution: Modular Governance

Two innovations work together: **BLVM** provides the mathematical foundation and compiler-like architecture (Orange Paper as IR, formal verification passes); **Commons** provides the governance framework (coordination without civil war). The modular architecture is where both innovations meet. BLVM ensures correctness through architectural enforcement; Commons ensures coordination through Cryptographic Polycentrism.

The governance architecture directly addresses power concentration problems identified in Bitcoin Core's development patterns (bitcoin-governance-research, 2026). Commons enforces distributed authority through cryptographic multisig requirements and mandatory review periods, preventing single points of control. This Cryptographic Polycentrism model creates multiple decision centers (repository layers, action tiers, emergency tiers) with mathematically enforced boundaries.

Two-Layer Architecture

The modular architecture consists of two layers that transform governance conflicts from political battles into architectural choices:

Layer 1: Mandatory Consensus (Base Node)

- Bitcoin's consensus rules, unchangeable without network agreement
- Cryptographically enforced, defines what "Bitcoin" means
- Examples: block validation, transaction validation, fork choice rules

Layer 2: Optional Modules (Extension System)

- User-controlled features that can be enabled or disabled
- Communities can fork/modify/compete, user choice determines winners
- Examples: Lightning Network, merge mining, Taproot Assets, privacy enhancements

Revenue Model

- Self-sustaining development through operational modules
- Marketplace module, governance announcement zaps, and optional merge mining module provide revenue streams
- Reduces reliance on grants, donations, or external funding
- Aligns incentives with usage and adoption, reducing capture risk

Module Isolation

Modules run in separate processes with strict boundaries:

Process Isolation Mechanisms: - Each module runs in its own process space with isolated memory - Modules communicate only through well-defined APIs - Base node validates all blocks using Orange Paper specification regardless of enabled modules - Module state completely separate from consensus state (UTXO set)

API Boundaries: - Modules can only interact with base layer through documented interfaces - No direct access to consensus functions or core data structures - Module failures isolated and cannot propagate to base node - Crash containment guaranteed by process boundaries

What modules CANNOT do: Modify consensus rules, alter block validation, cause network splits

What modules CAN do: Process their own state, crash without affecting base node

Containment Strategy

The modular architecture satisfies both camps simultaneously:

- **“Don’t Change Bitcoin” Camp:** Gets pure Bitcoin base layer with no modifications
- **“Make Bitcoin Useful” Camp:** Gets optional features through modules
- **Miners:** Get additional revenue from merge mining

The Module System IS The Governance System: Instead of governing through committees deciding features, we govern through architecture enabling choice. The module system isn’t just technical: it’s the governance mechanism itself, implementing Ostrom’s collective choice arrangements through user configuration, Hayek’s competitive discovery through module competition, and Bitcoin’s permissionless innovation through fork-ability.

Architecture Diagrams

Tiered Architecture

From mathematical foundation to governance infrastructure



Figure: Tiered architecture: Tier 1 = Orange Paper + Consensus Proof (mathematical foundation); Tier 2 = Protocol Engine (protocol abstraction); Tier 3 = BLVM Node (complete implementation); Tier 4 = Developer SDK + Governance (developer toolkit + governance enforcement).

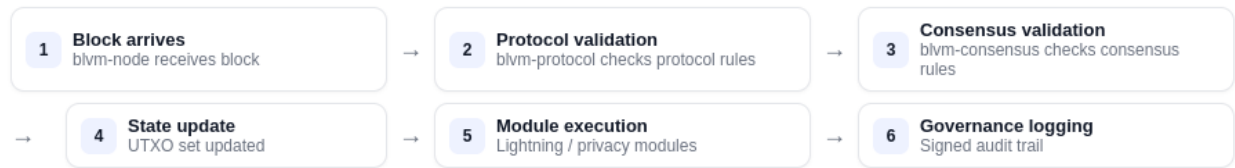


Figure: End-to-end data flow through BLVM Node, Consensus Proof, Protocol Engine, modules, and governance. Each tier depends only on layers below; modules cannot affect consensus.

Module Quality Control Process

Quality gates ensure module ecosystem safety and standards

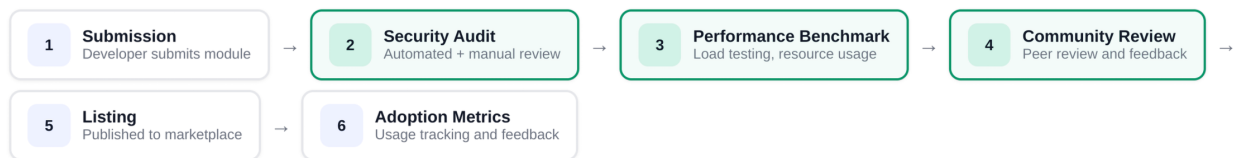


Figure: Module quality control process ensuring security, performance, and community validation before module adoption.

Fragmentation Analysis:

Fragmentation Analysis Comparison

Consensus forks (network splits) vs Governance forks (no network splits)

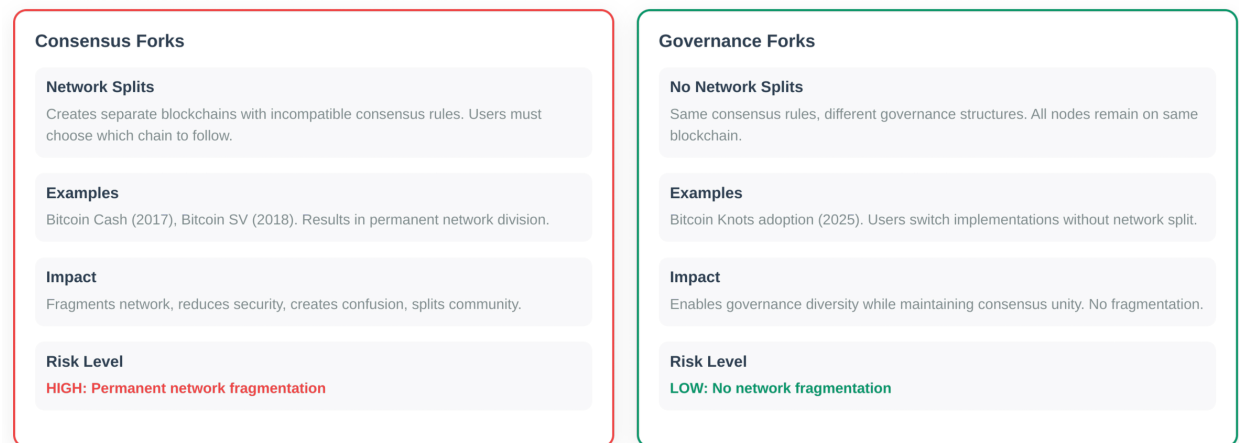


Figure: Fragmentation analysis showing that governance forks don't split the network. All implementations validate same Bitcoin consensus while enabling governance competition.

Governance forks preserve the consensus layer while allowing governance changes. Users can fork governance rules while keeping the same Bitcoin consensus. This is the ultimate accountability mechanism. Knots adoption (25% in five months) proved multiple implementations coexist without fragmentation.

Forking Process: Governance rulesets can be exported as versioned, signed packages containing action tiers, maintainers, cryptographic proofs, and semantic versioning. This enables users to fork governance while maintaining compatibility and verification.

Implementation Registry. A self-service registry provides permissionless listing of implementations via automated PR validation. If validation passes, merges occur automatically, demonstrating the framework’s decentralized, cypherpunk-aligned nature.

6. Cryptographic Governance Enforcement

Commons implements Cryptographic Polycentrism through three complementary verification layers (distinct from repository layers) that ensure both real-time transparency and immutable historical proof. These verification layers create multiple independent centers of accountability, each enforcing governance boundaries through cryptographic proof:

Three-Layer Verification Architecture

Real-time transparency + immutable historical proof with automated enforcement

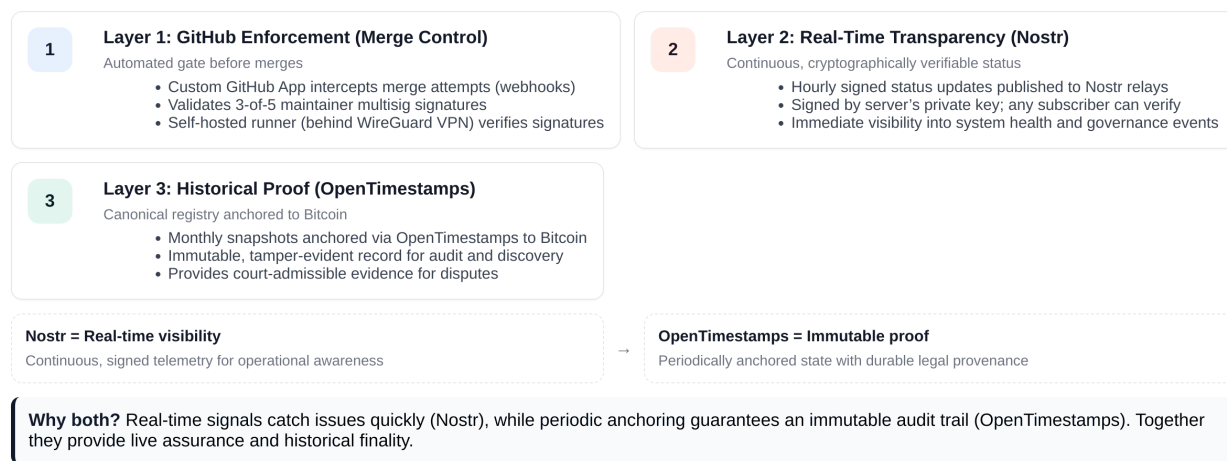


Figure: Three-layer verification approach: GitHub, Nostr, and OpenTimestamps.

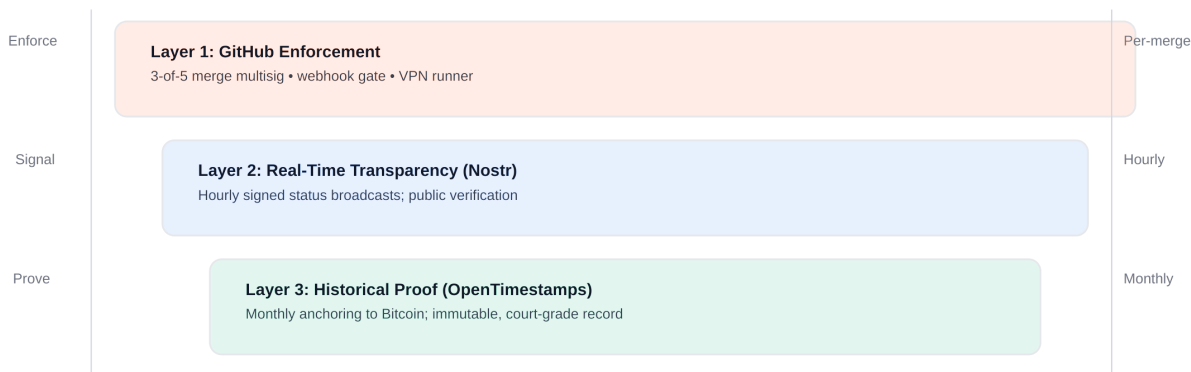


Figure: Three-layer verification: GitHub merge control, real-time Nostr transparency, and OpenTimestamps historical proof.

Layer 1: GitHub Enforcement (Merge Control) - Custom GitHub App validates multisig requirements (varies by layer: 2-of-3 to 6-of-7) - Self-hosted runner behind WireGuard VPN validates signatures using secp256k1 - Even repository admins cannot bypass cryptographic requirements -

Signature validation happens before merge approval - Addresses Bitcoin Core's self-merge and zero-review patterns (bitcoin-governance-research, 2026) by requiring explicit cryptographic approval from multiple maintainers before any merge

Layer 2: Real-Time Transparency (Nostr) - Hourly status updates published to Nostr relays - Status includes: binary hash, config hash, recent merges, health metrics - Cryptographically signed by server's unique NPub (Nostr public key) - Anyone can subscribe and verify server integrity in real-time - Missing updates trigger community alerts within 2 hours - Provides transparent monitoring that Bitcoin Core lacks, making governance patterns visible in real-time rather than requiring retrospective analysis (bitcoin-governance-research, 2026)

Layer 3: Immutable Proof (OpenTimestamps) - Monthly canonical registry anchored to Bitcoin blockchain - Critical events (key rotations, deployments) timestamped immediately - Creates cryptographic proof of governance state at specific block height - Provides court-admissible evidence for dispute resolution - Works independently of any single server or relay

Cross-Layer Verification: Three independent layers verify governance actions and each other. Risk at one layer does not compromise the others. This defense-in-depth approach ensures governance integrity even if one verification method is compromised.

Repository Hierarchy

Different signature thresholds based on risk level, with explicit requirements detailed in the governance enforcement section.

Emergency Response

Commons implements a three-tier emergency system that activates when critical security issues require rapid response. Emergency tiers operate separately from action tiers and provide time-limited elevated authority with automatic expiration to prevent permanent emergency powers:

Critical Emergency (Network-threatening vulnerabilities): - Activation: 5-of-7 signatures required - Review period: 0 days (immediate response) - Maximum duration: 7 days (no extensions) - Examples: Inflation bugs, consensus fork risks, P2P network DoS vulnerabilities, remote code execution

Urgent Security Issue (Serious security issues): - Activation: 5-of-7 signatures required - Review period: 7 days - Maximum duration: 30 days (1 extension allowed) - Examples: Memory corruption vulnerabilities, privacy leaks, crash exploits, privilege escalation

Elevated Priority (Important but not critical): - Activation: 5-of-7 signatures required - Review period: 30 days - Maximum duration: 90 days (2 extensions allowed) - Examples: Competitive response needs, important bug fixes, performance degradation, ecosystem compatibility issues

The emergency system escalates requirements proportionally to severity while maintaining governance integrity through time limits and automatic expiration. All emergency actions require post-mortem documentation and are subject to review after expiration.

Security Architecture: Push-Only Design

Security Architecture Details:

- **No HTTP Endpoints:** Governance servers have no incoming HTTP endpoints (minimal exposure surface)
- **VPN Isolation:** Servers communicate outbound only through WireGuard VPN
- **Self-Hosted Runner:** GitHub runner behind WireGuard VPN for signature validation
- **Data Flow:** Server to GitHub (push) to Nostr (publish) to Bitcoin (anchor)
- **Public Read Access:** GitHub repo, Nostr relays, Bitcoin blockchain (read-only for public)

Attack Path Protection:

Attack Path Interception Map

Phase 3 estimates. Timeline shows attempt stages (0–100) and where Bitcoin Commons intercepts.

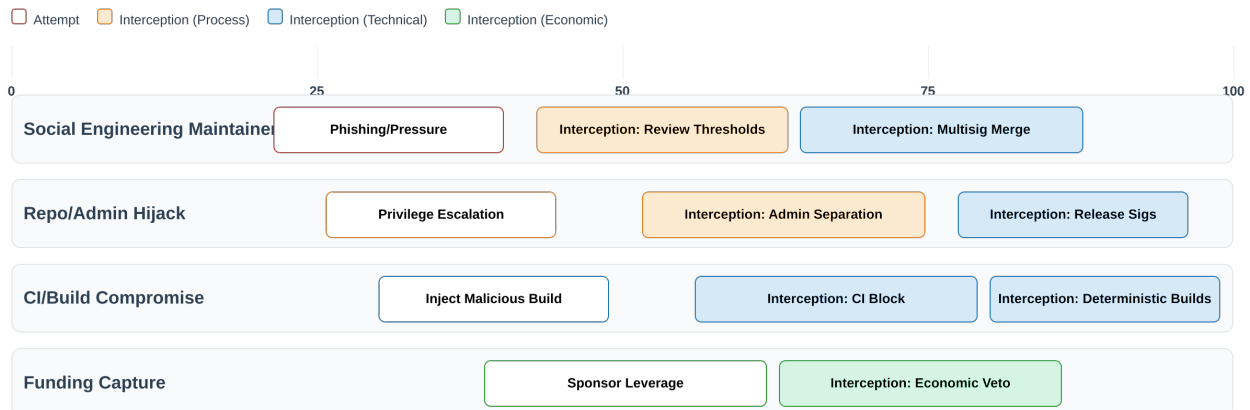


Figure: Risk interception points across three independent verification layers.

Multisig Threshold Details

Commons implements a **5-tier constitutional governance system** that combines two dimensions: **repository layers** (where the change is made) and **action tiers** (what type of change is being made). When both apply, the **most restrictive requirement wins** (highest signature threshold and longest review period).

Repository Layers (Where): - **Layer 1-2 (Constitutional):** Orange Paper and Consensus Proof - 6-of-7 signatures, 180-day review (365 days for consensus changes) - **Layer 3 (Implementation):** Protocol Engine - 4-of-5 signatures, 90-day review - **Layer 4 (Application):** BLVM Node - 3-of-5

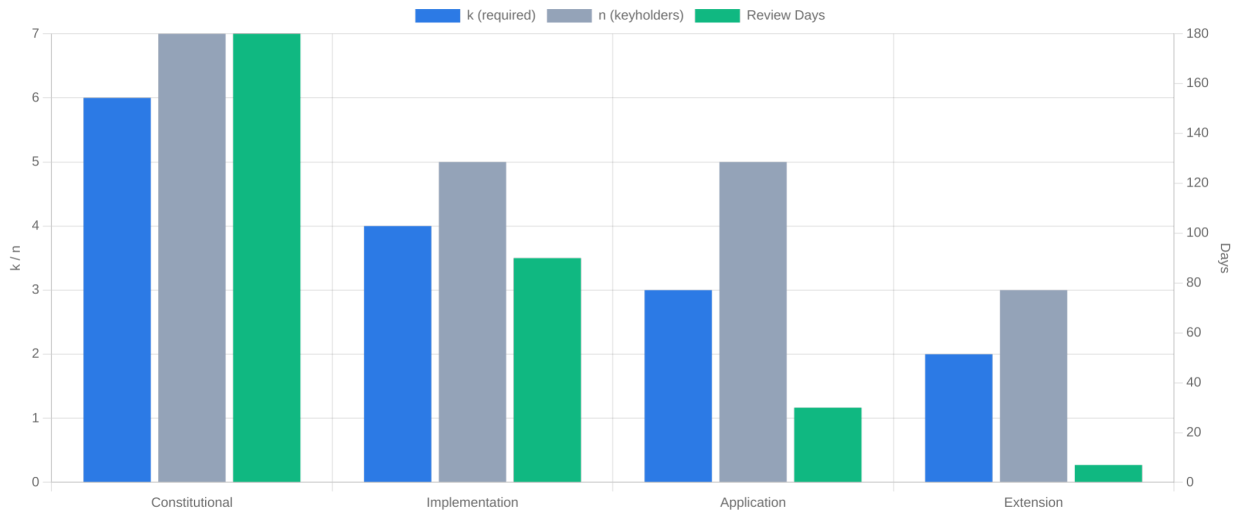
signatures, 60-day review - **Layer 5 (Extension)**: SDK and modules - 2-of-3 signatures, 14-day review

Action Tiers (What): - **Tier 1 (Routine Maintenance)**: Bug fixes, documentation, optimizations - 3-of-5 signatures, 7-day review - **Tier 2 (Feature Changes)**: New RPC methods, P2P changes, wallet features - 4-of-5 signatures, 30-day review - **Tier 3 (Consensus-Adjacent)**: Changes affecting consensus validation code - 5-of-5 signatures, 90-day review - **Tier 4 (Emergency Actions)**: Critical security patches, network-threatening bugs - 4-of-5 signatures, 0-day review (with post-mortem required) - **Tier 5 (Governance Changes)**: Changes to governance rules themselves - 5-of-5 signatures, 180-day review

Most Restrictive Wins Rule: When both layer and tier apply, the system takes the highest signature requirement and longest review period. For example: - A routine bug fix (Tier 1) in the Protocol Engine (Layer 3) requires 4-of-5 signatures and 90-day review (Layer 3 wins) - A new feature (Tier 2) in the SDK (Layer 5) requires 4-of-5 signatures and 30-day review (Tier 2 wins) - A consensus change (Tier 3) in Orange Paper (Layer 1) requires 6-of-7 signatures and 180-day review (Layer 1 wins)

Governance Signature Thresholds by Risk Class

k-of-n thresholds and review windows



Strength Index (below): normalized composite of k/n and review duration (illustrative)

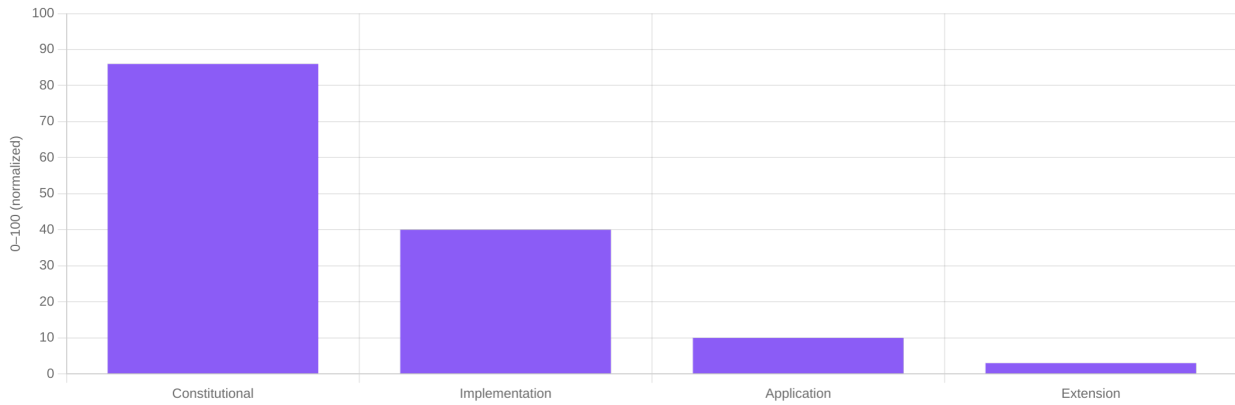
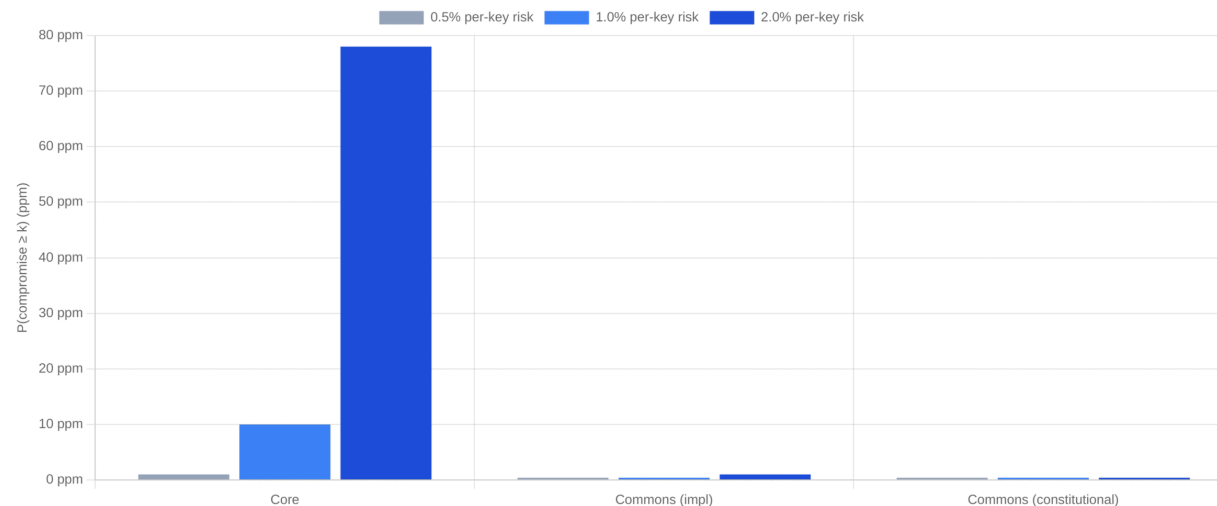


Figure: Governance signature thresholds by change category (constitutional, implementation, application, extension).

Multisig Threshold Sensitivity

Policy comparison: $P(\text{compromise} \geq k)$ per assumed per-key risk p (lower is better)



Risk = chance attackers can reach required signatures ($\geq k$) given per-key compromise probability p . Assumes independent keys; dispersion reduces effective p . Policies shown: Core ($k=3, n=5$), Commons-impl ($k=4, n=5$), Commons-constitutional ($k=6, n=7$).

Figure: Multisig threshold sensitivity: false negative and false positive risk vs threshold. Commons balances safety and throughput through carefully calibrated thresholds.

All signatures verified using secp256k1 (same curve as Bitcoin). GitHub App validates signatures before allowing merges. Even repository admins cannot bypass cryptographic requirements.

These thresholds directly address Bitcoin Core's power concentration problem (bitcoin-governance-research, 2026). Commons requires distributed approval: even the highest-risk changes (constitutional) require 6-of-7 signatures, ensuring no single maintainer or small group can control critical decisions. Mandatory review periods prevent rushed merges and ensure adequate community scrutiny, addressing the review quality issues identified in Bitcoin Core's development patterns. The dual-dimensional system (layers + tiers) provides additional safety: even routine changes in critical repositories require higher approval thresholds, preventing accidental or malicious changes to sensitive code.

Governance Process and Latency

Governance Process Latency by Tier

Phase 3 estimates. Core: informal ranges; Commons: guaranteed timing. Lower = faster.

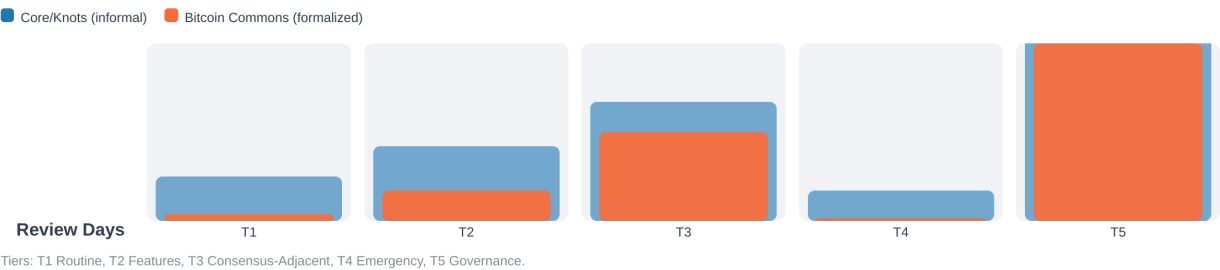


Figure: Governance process latency and escalation tiers. Stages map to proposal → review → approvals → merge.

Governance Latency Stack

Proposal → Review → Signatures → Merge → Broadcast → Anchor (Median vs p90; phase targets)

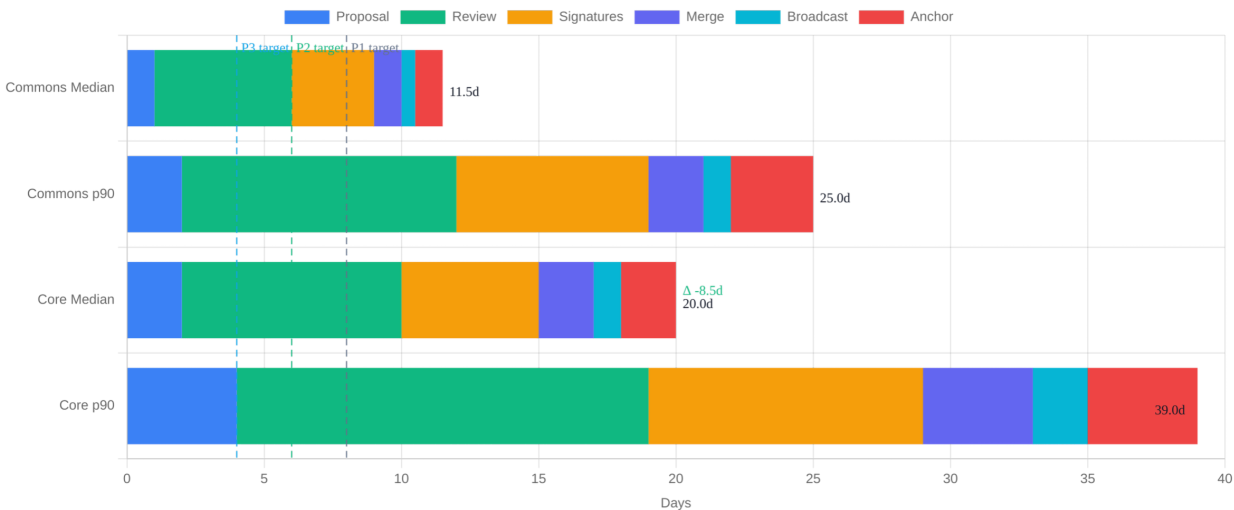


Figure: Governance latency: time by stage. Reduced queueing at gates through automation and process optimization.

Decision Provenance Completeness

100% stacked by month: Signed only / Signed+Nostr / Signed+Nostr+OTS



Figure: Decision provenance: share of fully evidenced decisions across layers. Three-layer verification ensures complete audit trails. This addresses Bitcoin Core's accountability gaps where governance actions lack formal evidence trails (bitcoin-governance-research, 2026).

Release Pipeline Gate Strength

Phase 3 estimates. Wider = stronger enforcement at that gate.

■ Commons strength (outer bar) · ■ Core coverage (inner bar)

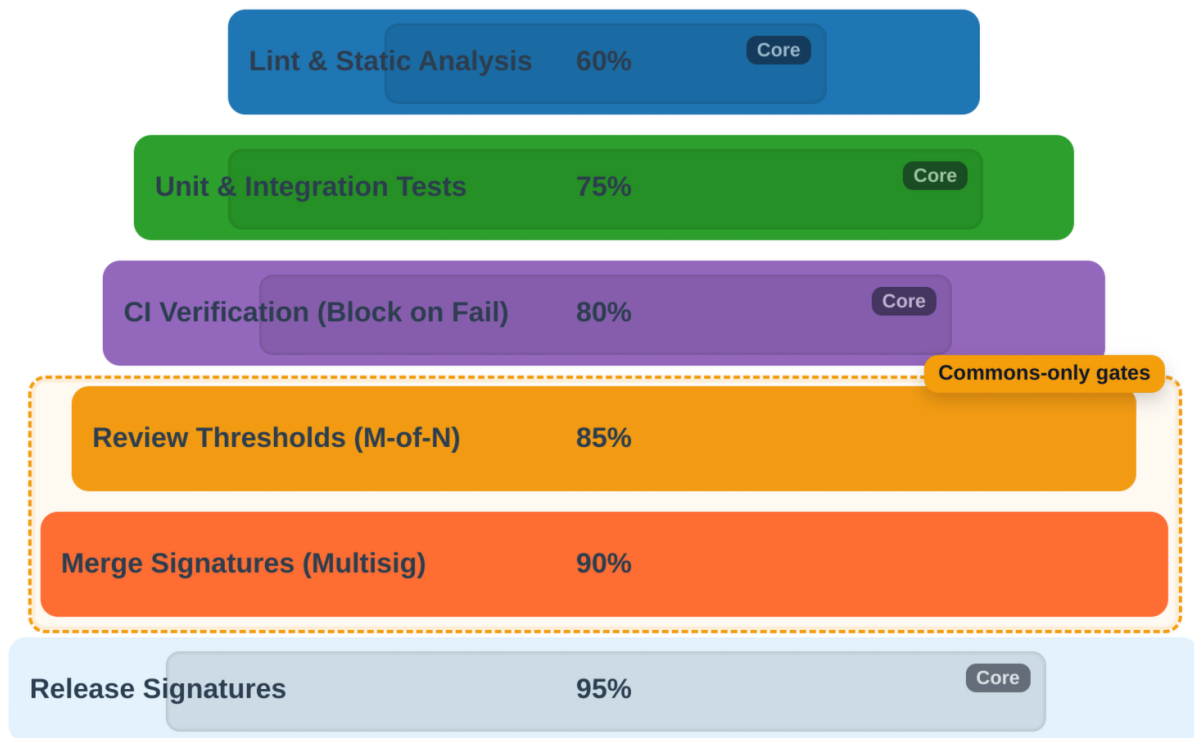


Figure: Gate strength across the release pipeline. Each gate enforces appropriate signature requirements and review periods.

PR Review Time Distribution

Median grows, outliers become extreme (contributor frustration)

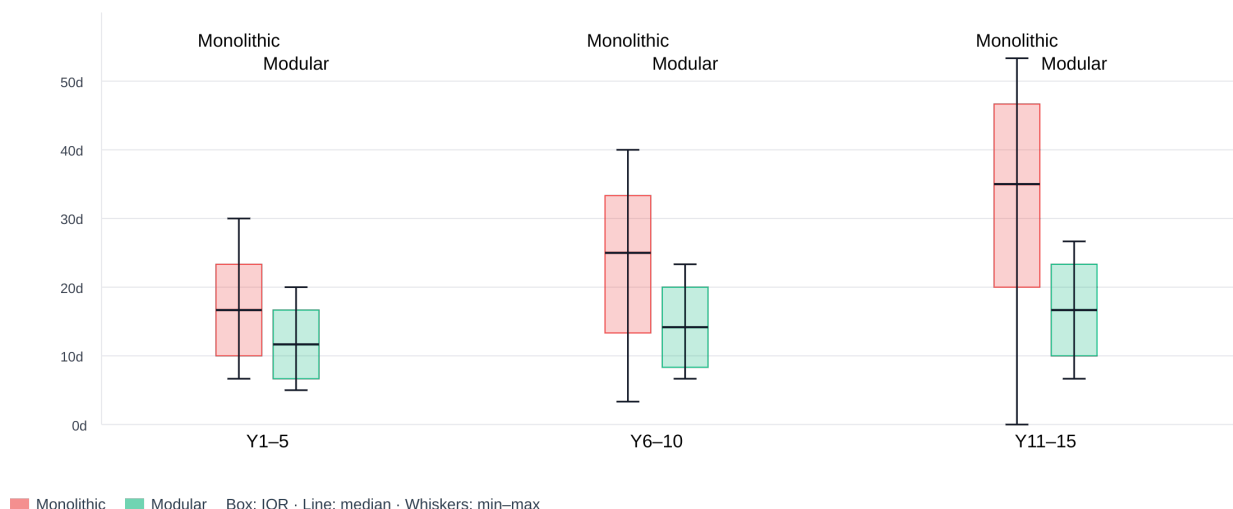


Figure: Pull request review time distribution. Long tails reveal why throughput stalls without process and tooling. Automated validation reduces review bottlenecks.

7. Economic Sustainability

The Funding Gap

Only \$8.4 million from 13 organizations supported Bitcoin Core development in 2023, while the network reached a \$2 trillion market cap (Hough, 2025). This 0.42% funding-to-market-cap ratio creates systemic vulnerabilities and limits Bitcoin's ability to scale safely.

Self-Sustaining Revenue Models

Bitcoin Commons operates modules to generate revenue for funding operations, reducing reliance on grants, donations, or external funding:

Marketplace Module: Enables distribution and monetization of modules.

Governance Announcement Zaps: Lightning Network zaps attached to governance announcements provide direct funding for governance operations.

Merge Mining Module: Coordinates merge mining for secondary chains, providing optional revenue when enabled.

These self-sustaining models align incentives with usage and adoption, making the system less vulnerable to capture than grant-dependent funding models.

Infrastructure Costs

- Server costs: \$75-200/month for servers, VPN, and tooling

- Annual costs: under ~\$30K including security audits
- Model aims to protect substantial Bitcoin value at low overhead

Success Metrics

- **Level 1 (Sustainability):** 1000+ nodes, revenue-positive operation
- **Level 2 (Ecosystem Health):** 3+ implementations with >15% combined node share

Success Level 1 proves sustainability. Success Level 2 proves the mission: implementation diversity becomes normal. We succeed when others copy the approach, not when we dominate the market.

8. Failure Modes & Mitigations

Governance Capture

Risk: Keyholder collusion or compromise **Mitigation:** Multi-jurisdictional keyholders, transparent operation, fork-ready design. Current system easier to capture (target individuals privately, invisible control).

Regulatory Pressure

Risk: Authorities pressure keyholders to implement backdoors **Mitigation:** Distributed keyholders across jurisdictions (no single jurisdiction can compel 3-of-5 threshold), visible capture attempts, modular containment

Technical Risks

Risk: Module consensus bugs, complexity explosion **Mitigation:** Module isolation, formal verification, security audits

Social Risks

Risk: Community rejection, fork wars, reputation attacks **Mitigation:** Focus on substance, build alternatives, let market decide; not asking permission, let code speak, coalition provides proof

Ultimate Protection

Governance forks provide the ultimate accountability mechanism.

9. Implementation Status

Six Repositories

All repositories are public and active at <https://github.com/BTCDecoded>:

1. **Orange Paper** (blvm-spec): Mathematical specification of Bitcoin consensus
2. **Protocol Engine** (blvm-protocol): Core protocol logic and state management

3. **Consensus Proof** (blvm-consensus): Formal verification of consensus rules
4. **BLVM Node** (blvm-node): Complete Bitcoin implementation
5. **Developer SDK** (blvm-sdk): Toolkit for building alternative Bitcoin implementations. Provides module composition framework for declaratively assembling custom Bitcoin nodes, plus governance cryptographic primitives.
6. **Governance** (governance + blvm-commons): Configuration repository for governance rules and the GitHub App that enforces them

Current State

Phase 1 infrastructure provides substantial code implementing core capabilities. The system includes mathematical foundation and clean architecture. Governance infrastructure enables cryptographic enforcement.

Recent Technical Implementations

The BLVM Node implementation includes extensive Bitcoin protocol support:

BIP Implementations: Block filtering (BIP157/158), compact block relay (BIP152), hardware wallet support via PSBT (BIP174), Bech32m address encoding (BIP350/351), hierarchical deterministic wallets (BIP32/39/44), Bitcoin URI scheme with OS-level registration (BIP21), duplicate transaction prevention (BIP30), block version enforcement (BIP34), strict DER encoding (BIP66), NULLDUMMY checks (BIP147), and BIP90 validation.

Consistent Networking: Transport abstraction layer supporting both TCP and Iroh QUIC transports, with unified message routing across transport types. This enables nodes to choose transport based on network conditions while maintaining protocol compatibility.

Network Optimizations: Integrated coordination between compact blocks and block filtering for bandwidth efficiency. UTXO commitments support optional inclusion of block filters in responses. Transport-aware feature negotiation optimizes protocol usage based on available transports.

Advanced Networking: FIBRE (Fast Internet Bitcoin Relay Engine) implementation with Forward Error Correction (FEC) using Reed-Solomon encoding enables fast block propagation over UDP with resilience to packet loss. Package relay (BIP331) and privacy-preserving transaction relay options provide additional network efficiency and privacy capabilities.

Module System Architecture: Process-isolated module system with IPC communication, sandboxing, security validation, and module registry. Enables optional features (Lightning, merge mining, privacy enhancements) without affecting consensus or base node stability.

Stratum V2 + Merge Mining: Stratum V2 implementation with merge mining coordination for secondary chains (RSK, Namecoin, etc.). Multiplexed QUIC channels enable simultaneous mining of Bitcoin and secondary chains.

10. Development Roadmap

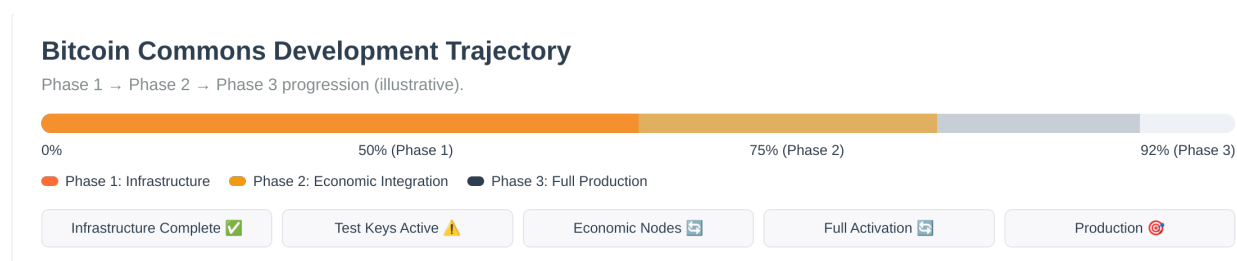


Figure: Development trajectory across phases showing progression from foundation to maturity.

Upgrade Safety Checklist Coverage

Phase 3 estimates. Deploy safety controls across implementations.

	Bitcoin Core	Bitcoin Knots	btcd	Libbitcoin	Bitcoin Commons
Rollback Plan Tested	Partial	Partial	Partial	Partial	Complete
Canary Deploy / Staged Rollout	Partial	Partial	Partial	Partial	Complete
Deterministic Builds	Partial	Partial	Partial	Partial	Complete
Signed Releases	Complete	Complete	Partial	Partial	Complete
CI Gates Block on Failure	Partial	Partial	Partial	Partial	Complete
Audit Log Complete	Partial	Partial	Partial	Partial	Complete

Figure: Upgrade safety checklist before activation. Prerequisites must be met before governance enforcement begins.

Phase 1 complete. Phase 2 activation requires meeting prerequisites below. Success metrics: Level 1 (sustainability) and Level 2 (ecosystem health through implementation diversity). Goal: create foundation for competing implementations, not replace Bitcoin Core.

Phase 1: Foundation

Phase 1 (Foundation) - Complete. Current capabilities and repositories are detailed in the implementation status section.

Phase 2: Governance Activation

Prerequisites (Must be met before activation): - Comprehensive security audit by independent firm - Public community validation period completed - Production key management procedures operational - Formal verification of critical consensus paths complete - Legal review across multiple jurisdictions - Miner commitment threshold reached (at least one major miner) - No critical issues outstanding from Phase 1 review

Phase 2 Milestones:

Working Base Node: Complete BLVM Node implementation with full network compatibility (mainnet, testnet, regtest). Milestone: At least one major miner committed to merge mining model

Module System Architecture: Module API, loading system, and infrastructure. Milestone: Lightning module integration and module marketplace operational

Cryptographic Governance: Multisig infrastructure, distributed keyholder system, transparent processes, Governance App deployment. Milestone: Governance system is operational with full three-layer verification

Lightning Integration Module: Build Lightning Network module demonstrating architecture-based conflict resolution. Milestone: Lightning module is working and adopted

Merge Mining Support: Stratum V2 infrastructure and merge mining coordination. Milestone: Merge mining module operational (optional revenue source)

Module Marketplace: Build distribution infrastructure with quality control, security audits, and adoption metrics. Milestone: Module marketplace is operational

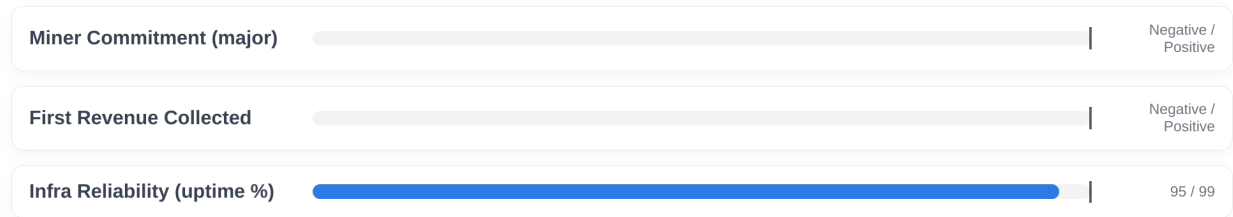
Revenue-Positive Operation: Achieve sustainable funding through operational modules, demonstrate economic model viability. Milestone: 1000+ node operators, revenue-positive operation (Level 1 success)

Sustainability & Ecosystem Health

Targets: L1 Sustainability and L2 Ecosystem Health

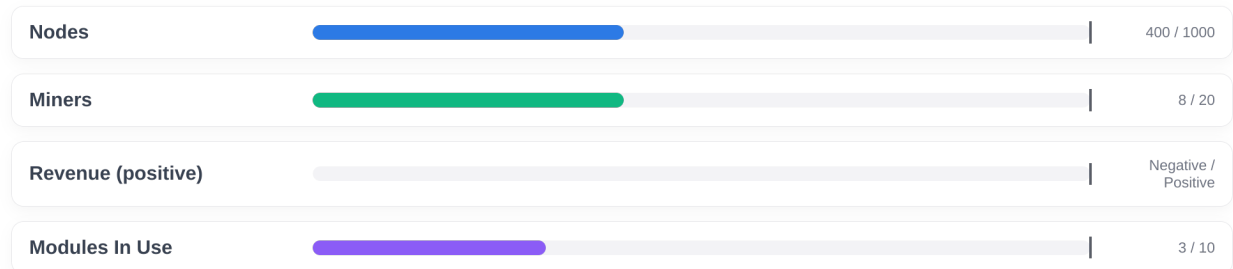
Phase 1 — Foundation

Targets focus on proving infrastructure readiness and first revenue.



Phase 2 — Expansion

Targets emphasize nodes, miner adoption, and ecosystem activation.



Phase 3 — Maturity

Targets aim at self-sustainability and ecosystem health.

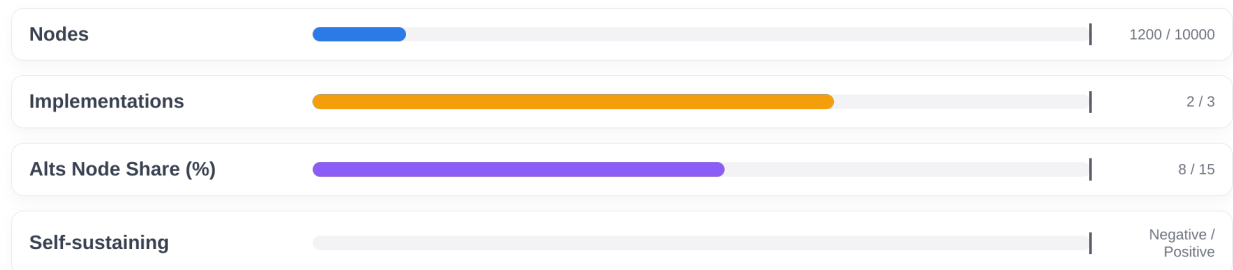


Figure: Sustainability and ecosystem health indicators across phases. Tracks node adoption, miner participation, and revenue generation.

Phase 3: Maturity

Advanced Modules: Build privacy enhancement, alternative mempool policy, and smart contract integration modules. Milestone: 50+ available modules

Interoperability: - Fedimint integration demonstrating infrastructure positioning - Shared Iroh networking and LDK Lightning components enable natural interoperability - Commons as infrastructure layer enabling other projects

Self-Sustaining Development: Achieve complete independence from external funding; demonstrate sustainable economic model; show governance system can operate without founder. Milestone: Self-sustaining without external funding

Operational Sustainability: Demonstrate sustainable operations through marketplace and governance modules; prove governance system effectiveness and economic viability

Production Deployment: Full mainnet governance infrastructure; first multisig merge, OpenTimestamps anchor, public monitoring operational; key rotation completed. Milestone: 10,000+ node operators, recognized as viable alternative

Recognition as Viable Alternative: Gain recognition from Bitcoin community; demonstrate technical superiority and governance advantages. Milestone: Accepted as legitimate Bitcoin implementation

Phase 4: Ecosystem Normalization

Reference Implementation: Become reference implementation for modular architecture; set standards and influence Bitcoin development ecosystem; enable multiple implementations using Commons SDK. Demonstrate governance system scalability.

Implementation Diversity Normalized: Make multiple implementations normal in Bitcoin; show Core is one option among many. Milestone: Implementation diversity normalized (Level 2 success)

Governance Model Adoption: Have governance model adopted by other projects; show governance principles are universal. Milestone: Governance model adopted by other projects

Strategic Positioning

Commons positions as infrastructure for multiple implementations, not a Core replacement. Success measured by ecosystem health and implementation diversity (Level 2 success), not market share. BitMEX validated Type 3 software forks; Commons adds specification, governance, and economics. Success when others build on the foundation, measured by ecosystem adoption.

Key Metrics

Key metrics align with Success Levels 1 and 2. Categories include:

Technical Metrics: Network compatibility, module adoption, revenue generation, user adoption

Governance Metrics: Decision transparency, economic alignment, anti-capture measures, sustainability

Ecosystem Metrics: Diverse implementations, module marketplace growth, developer adoption, community recognition

Community Health Radar

Multi-dimensional health comparison

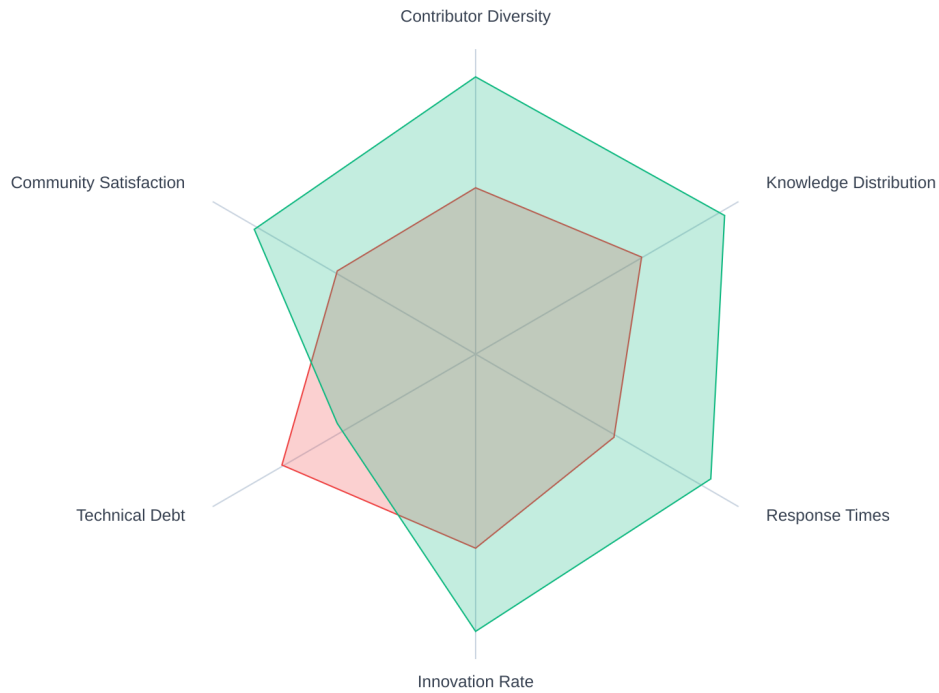


Figure: Community health radar tracks breadth of participation, contributor retention, and review responsiveness across releases.

These metrics measure the health of the ecosystem, not just the success of Commons itself. For detailed risk analysis and mitigation strategies, see Section 8 (Failure Modes & Mitigations).

11. Conclusion

Bitcoin's governance vacuum represents its greatest vulnerability at multi-trillion dollar scale. The technical architecture is bulletproof, but the social architecture runs on gentleman's agreements. BLVM and Commons provide concrete, implementable solutions: BLVM ensures mathematical rigor; Commons applies Ostrom's principles, Hayek's competitive discovery, and Bitcoin's cryptographic enforcement to governance.

This isn't speculation. It's applying battle-tested principles from economics, social science, and cryptography to governance. Each framework addresses weaknesses in the others: cryptography makes Ostrom enforceable at scale, infrastructure enables Hayek's competition, and modularity plus fork-ability creates competitive discovery.

The foundation exists in public repositories, but implementation remains ongoing. The architecture is designed and the path is clear: the project's future depends on community participation.

The choice: decentralize the builders, or watch them become kings.

References

Academic Sources

- Ostrom, E. (1990). *Governing the Commons: The Evolution of Institutions for Collective Action*. Cambridge University Press.
- Hardin, G. (1968). The Tragedy of the Commons. *Science*, 162(3859), 1243-1248.
- Hayek, F. A. (1945). The Use of Knowledge in Society. *American Economic Review*, 35(4), 519-530.
- De Filippi, P., & Loveluck, B. (2016). The Invisible Politics of Bitcoin: Governance Crisis of a Decentralized Infrastructure. *Internet Policy Review*, 5(3).
- Walch, A. (2015). The Bitcoin Blockchain as Financial Market Infrastructure: A Consideration of Operational Risk. *Fordham Law Review*, 84(1), 1-58.
- Walch, A. (2017). The Path of the Blockchain Lexicon (and the Law). *Vermont Law Review*, 42(1), 1-30.
- Walch, A. (2019). Deconstructing 'Decentralization': Exploring the Core Claim of Crypto Systems. *Cryptoassets: Legal, Regulatory, and Monetary Perspectives*, 55-78.
- Hough, E. (2025). "Funding the Peer-to-Peer Ethos: A Network Analysis Proposal of Bitcoin's Technical & Social Collectives." Unpublished research proposal, INFO 4360: Communication Networks and Social Capital, Cornell University.
- Hough, E. (2022). "Evaluating The Diffusion & Adoption of Bitcoin: Through Network Effects, Public Sentiment & Self-Fulfilling Expectations Equilibrium." INFO 2040: Networks, Cornell University. [Cornell Blogs](https://blogs.cornell.edu/info2040/2022/11/11/evaluating-the-diffusion-adoption-of-bitcoin-through-network-effects-public-sentiment-self-fulfilling-expectations-equil/) - <https://blogs.cornell.edu/info2040/2022/11/11/evaluating-the-diffusion-adoption-of-bitcoin-through-network-effects-public-sentiment-self-fulfilling-expectations-equil/>
- Uzzi, B. (1997). Social Structure and Competition in Interfirm Networks: The Paradox of Embeddedness. *Administrative Science Quarterly*, 42(1), 35-67. <https://doi.org/10.2307/2393808>
- bitcoin-governance-research (2026). Comprehensive Quantitative Analysis of Bitcoin Core Development Governance. <https://github.com/secsovereign/bitcoin-governance-research>

Historical Sources

- Andresen, G. (2014). Bitcoin: The Future of Money? Princeton University, March 27, 2014.
- Hearn, M. (2016). The Resolution of the Bitcoin Experiment. *Medium*, January 15, 2016.
- BitMEX Research (2020). Bitcoin Core's Competition. *BitMEX Research*, January 2020.

Technical Sources

- CVE-2018-17144 (2018). Bitcoin Core Denial of Service Vulnerability. *CVE Details*. <https://cve.mitre.org/cgi-bin/cvename.cgi?name=CVE-2018-17144>
- Bitcoin Core Statistics. Public GitHub repository data.
- Bitcoin Optech Topics: High quality technical primers and references

- Merged mining: <https://bitcoinops.org/en/topics/merged-mining/>
- Stratum v2: <https://bitcoinops.org/en/topics/stratum-v2/>
- BOLT (Lightning) Specifications: <https://github.com/lightning/bolts>

Repository Links

- <https://github.com/BTCDecoded/blvm-spec>
- <https://github.com/BTCDecoded/blvm-protocol>
- <https://github.com/BTCDecoded/blvm-consensus>
- <https://github.com/BTCDecoded/blvm-node>
- <https://github.com/BTCDecoded/blvm-sdk>
- <https://github.com/BTCDecoded/governance> (governance configuration)
- <https://github.com/BTCDecoded/blvm-commons> (GitHub App that enforces governance)

System Status: For verified implementation status, see [SYSTEM_STATUS.md](#) in the BTCDecoded organization repository.